Town of Hilton Head Island
TOWN COUNCIL MEETING
Tuesday, September 15, 2026, 3:00 PM
Minutes

Call to Order

Mayor Perry called the meeting to order at 3:00 p.m.

Council Members present: Alan Perry, Mayor; Alex Brown, Ward 1, Mayor Pro-Tempore; Patsy Brison, Ward 2; Steve DeSimone, Ward 3; Tammy Becker, Ward 4; Steve Alfred, Ward 5; Melinda Tunner, Ward 6

Others Present: Marc Orlando, Town Manager; Brittany Ward, Town Attorney; Kim Gammon, Town Clerk

Pledge to the Flag

Invocation – Pastor Mcclure, Church of Christ

Pastor McClure of Church of Christ - Hilton Head, delivered the invocation.

Adoption of the Agenda

Town Manager, Marc Orlando, requested the Agenda be amended by moving Agenda Item 6.e. to become 6.d. and Agenda Item 6.d. be moved to become 6.e.

Ms. Becker moved to approve the amended Agenda. Mr. Alfred seconded. Motion carried 7-0.

Approval of the Minutes

Workshop Meeting Minutes of July 28, 2026

Mr. Alfred moved to approve. Ms. Becker seconded. Motion carried 7-0.

Regular Meeting Minutes of August 11, 2026

Mr. Alfred moved to approve, with the change incorporated for Ms. Brison's comment to page 5 to revise Jasper County to Beaufort County. Ms. Becker seconded. Motion carried 7-0.

Presentations and Recognitions

Report of the Town Manager

Mr. Orlando announced that Hilton Head Island Fire Rescue earned national EMS accreditation with a rare zero-discrepancy evaluation. He also outlined upcoming capital improvement work, including extensive road surveying beginning September 15 on Lagoon Road, Gumtree Road, and Squire Pope Road.

Community events include the return of the Hilton Head Island Jam Songwriter Festival from September 17th through the 20th, featuring concerts at Lowcountry Celebration Park and a free students-only songwriter workshop event at Soundwaves, offered through a partnership with the Office of Cultural Affairs, Island School Council for the Arts, and the Hilton Head Symphony Orchestra, and small-business and contractor networking sessions hosted by the Gullah Geechee Historic Neighborhood CDC on September 22nd and 29th at USCB.

Additionally, the Town will hold a drainage meeting on September 22nd at USCB to gather feedback on flooding concerns in several neighborhoods.

National Senior Center Month Proclamation - Mayor Alan Perry

Leah Arnold, Island Recreation Association Parks and Recreation Executive Director, along with Cherie Bronsky, Senior Center Coordinator and Bethany Brown, Senior Center Program Manager of Island Recreation Center were present to accept the Proclamation.

Commendation Recognizing the Diamond Youth Baseball Hilton Head All Stars 12U for their Majors World Series Championship Win - Mayor Alan Perry

The 12U All-Stars Diamond Youth Baseball Majors World Series Champions team, together with their coaches and manager were present to accept the commendation.

Town of Hilton Head Island Destination Marketing Quarterly Metrics Report (FY26 Marketing Plan) — Ariana Pernice, Hilton Head Island - Bluffton Chamber of Commerce, Vice President of the Visitor Convention Bureau

Ariana Pernice, Vice President of the Visitor Convention Bureau, and Chase O'Dell, Research Manager, each from the Hilton Head Island-Bluffton Chamber of Commerce, provided the Destination Marketing Organization’s quarterly report update for May through July of 2026, which highlighted strong public relations results, with over 2,400 media mentions generating 4.9 billion impressions which represent the rough equivalent of $4 million in ad value. The Hilton Head Island Vacation Planner Guide continues to be widely distributed across welcome centers, hotels, airports, and trade shows, helping to reinforce the Island’s presence in drive-market tourism and is a successful tourism advertising piece. Strategic marketing shifts—including shorter, more tactical paid campaigns and a focus on generative search authority—have temporarily affected year-over-year metrics but are expected to strengthen shoulder season visitation.

The MindTrip AI trip planning tool has gained notable traction, ranking Hilton Head Island among its top ten participating destinations. Social media efforts remain centered on audience growth, while partnerships with local nonprofits have improved event promotion and access to geolocation data. Hotel performance was strong for summer 2026, though short-term rentals

saw declines influenced by gas prices and traveler behavior; however, fall bookings, particularly for October and November, show promising recovery. Audit and financial reporting remain on schedule for delivery at the end of the month.

During Council discussion, members expressed concern over declining short-term rental occupancy—especially a roughly 4% drop in July 2026 as compared to July 2024—given its importance to peak season tourism and requested additional analysis regarding this metric. They questioned whether current data sources are sufficiently accurate and requested more granular, reliable reporting on unit types, visitor trends, and length of stay patterns. Council also emphasized the need to understand the impact of marketing return on investment, particularly for local events, and asked the DMO to better calibrate geofencing attendance data with figures reported by nonprofit event organizers. They noted the importance of addressing gaps created by weaker Canadian visitation and ensuring that marketing strategies effectively support shoulder season demand.

Beaufort County Update on Eastbound US 278 Bridge Replacement Project - Jared Fralix, Assistant County Administrator, Beaufort County

Jared Fralix, Beaufort County Assistant County Administrator - Infrastructure, provided an update on the status of the William Hilton Parkway Gateway Corridor project, which began in 2017 and shifted after rising construction costs required the original plan to be scaled back from a full corridor redesign to a focused replacement of the aging 1956 eastbound Mackay Creek Bridge. The revised plan maintains essential access points such as Hog Cove and Mariners Cove, and improved access to Pinckney Island National Wildlife Refuge and the C.C. Haigh, Jr. Boat Landing, avoids impacts to the Stoney area, and is designed to support future expansion when the westbound bridges eventually require replacement.

The project is currently in final design and permitting following a federal Finding of No Significant Impact (FONSI), which gives permission to move forward on right of way acquisition and utility coordination, which is underway. The expectation is to have a final design complete by summer of 2027, for the project to go out for bid in the fall and winter of 2027, with construction anticipated to begin in early 2028 and finish by mid to late 2030.

Discussions are ongoing about relocating and funding the jointly owned Hilton Head PSD and Broad Creek PSD water pipeline. Engineering analyses indicate the pipeline should be moved for safety reasons, but the South Carolina Department of Transportation maintains that relocation is unnecessary and may be considered an unreimbursable betterment. Following an initial denial of a request for a U.S. Department of Transportation Large Bridge Project Grant, a revised submittal for the grant was made and is pending, and an award could trigger reconsideration of the larger corridor plan.

For up-to-date information, visit: info@SCDOT278BridgeReplacement.com

Council members raised concerns about funding for the relocation of the water pipeline, status of the U.S. DOT Large Bridge Project Grant, timely communication, project timelines, bridge safety, permit requirements, and coordination with utility partners as the project moves forward

and emphasized proactive communication, safety assurances, and timeline clarity.

Public Comment - Non-Agenda Items (Limited to 30 Minutes)

Amber Kuehn of Hilton Head Island Sea Turtle Patrol, addressed Council to request Town Council bring up for consideration the plastic ban revision in accordance with Beaufort County's request that municipalities work together to figure out a path going forward regarding the revision.

Shannon Wilkinson addressed Council to request Town Council bring up for consideration the plastic ban revision in accordance with the Beaufort County proposed plastic reduction ordinance, which is conditional on municipal adoption.

Jean Fruh addressed Council to request Town Council bring up for consideration the plastic ban revision in accordance with the Beaufort County proposed plastic reduction ordinance, and relayed to Town Council her experiences in trying to clean up plastic bags and styrofoam underneath Hilton Head Island's bridges and waterways. Ms. Fruh stated that the styrofoam crumbles and creates nano plastics which she believes end up in the Island's food web and waterways.

Gene Zapfel addressed Council to let them know that some of the Island's fast food restaurants are still using thin plastic bags which may be a violation of the rules set in 2018, and to request Town Council bring up for consideration the plastic ban revision in accordance with the Beaufort County proposed plastic reduction ordinance.

Skip Hoagland addressed Council regarding the 278 bridge project, public safety, the Hilton Head Island Jam Songwriter Festival, Executive Session meetings and the Destination Marketing Organization Contract.

Bonnie Brill addressed Council to request Town Council bring up for consideration the plastic ban revision in accordance with the Beaufort County proposed plastic reduction ordinance.

Dave Ferguson addressed Council regarding concern over the cancellation of scheduled Town meetings in light of several important ongoing Island issues such as the plastic bag ordinance, the 278 corridor plan, public safety and workforce issues; and expressed concern that every canceled meeting represents one less opportunity for the public to speak and ask questions.

Richard Bisi addressed Council regarding delays in taking action to address public safety and concern over procedures implemented during the Finance and Administrative Committee meeting on September 14, 2026 regarding requests for proposals for a public safety cost assessment.

David Arnal addressed Council regarding yellow-legged hornets on Hilton Head Island and outlined some public safety issues, including their sting severity and the hornets' ability to spit venom in your eyes, and noted that the Town of Hilton Head Island will need to take

responsibility for action against these hornets when the Clemson University and USDA eradication programs end.

Alastair Crosbie addressed Council to request Council consider an ordinance to enforce insurance regulations against the use of noncompliant e-bikes on the Island and expressed concern that law enforcement may not be enforcing traffic violations.

Chester Williams addressed Council to remind everyone that September is prostate cancer awareness month and that early detection is a key to early eradication.

William Bosley addressed Council to speak for the protection and preservation of the Indigo Run Rookery, which is home to hundreds of birds who nest and birth their chicks in the Rookery. Mr. Bosley feels that the Rookery is in danger as a result of the development at 229 Marshland Road, with some nesting also occurring on the developer's property. Additionally, Mr. Bosley commented that he believes Marshland Road is dangerous, with no shoulder and no safety mechanisms to warn drivers that they may be going off the road, and another 58 homes creating traffic on Marshland Road could be a disaster.

Terry Orr addressed Council to speak for the protection and preservation of the Indigo Run Rookery, and against the development of the project at 229 Marshland Road as he believes it will cause irreparable environmental harm and threaten the survival of the Indigo Run Rookery. Additionally, Mr. Orr believes the development is noncompliant with numerous state and local laws and ordinances and he urges Council to work with the Indigo Run residents to prevent the development from proceeding.

Sheila Broadbent addressed Council to make Council aware that 870 postcard petitions against the development at 229 Marshland Road have been delivered to the Town Clerk.

Reports from Members of Town Council

General Reports from Town Council

Ms. Brison requested that the ordinance regarding plastic bags and Styrofoam be added to the Agenda.

Mayor Perry addressed the timeline of the project at Islanders Beach Park and clarified that the Islanders Beach Park project had been thoroughly discussed, publicly communicated, and vetted over several years, including in workshops and community outreach. He emphasized that the timeline for moving the project forward was driven by beach renourishment scheduling, which required the Town to act within a specific window, and underscored that the process had been open and well known before advancing.

Report of the Lowcountry Area Transportation Study - Councilmember Tamara Becker

No report.

Report of the Lowcountry Council of Governments - Councilmember Steve Alfred

No report.

Report of the Beaufort County Airports Board - Councilmember Melinda Tunner

Ms. Tunner reported that the Hilton Head Island Airport launched a new website with real-time information on incoming flights, the ability to book flights, and under the General Aviation section of the site, there are offerings for private and corporate jets, flight school and helicopter tours.

Additionally, the airport will be expanding parking at their property at 32 Hunter Road to be used for employees and long-term parking and will be connected to the public lot via a boardwalk; and the airport underwent an undercover TSA inspection and received a commendation letter.

Ms. Tunner also reported that the number of passengers totaled 191,628 through August, up 8.9% from last year.

Report of the Southern Lowcountry Regional Board - Councilmember Patsy Brison

Ms. Brison reported that the Board met on August 25, 2026, where the new President of Technical College of the Lowcountry, Dr. Laurie A. Boeding, was introduced, and Dr. Boeding announced that the college's fall enrollment had increased by 14% and the college has 43% dual enrollment (high school and college) students.

Additionally, the Board met Brad Thompson, Executive Plant Manager of TS Conductor, which designed and manufactures a conductor to deliver higher capacity with reduced sag in transmission lines. TS Conductor has established its first South Carolina operation in an over 300,000 square-foot facility in Hardeeville, Jasper County, and will bring approximately 462 jobs to the area.

Ms. Brison also reported that Mayor Harry Williams of Hardeeville, South Carolina, has requested $18,000 from the Town of Hilton Head Island for the Tri-Share child care program, as he has received funds or pledges from other jurisdictions. The next meeting will be on September 22, 2026 in Beaufort, where the Board will receive updates on happenings in the City of Beaufort and the Beaufort County Referendum.

Report of the Island Recreation Association Board - Mayor Pro Tempore Alex Brown

Mr. Brown reported that the Island Recreation Center will hold a Kids Night Out on September 25th and the Rec Center has high school swim programs for Hilton Head High School, Heritage Academy, Hilton Head Christian Academy and John Paul II Catholic School.

Mr. Brown added that pickleball memberships are up to 622 and a new partnership with The Outside Foundation hosts Kids in Kayaks at the Hilton Head Island Fishing Cooperative Park.

Report of the Beaufort County Economic Development Corporation - Mayor Alan Perry

No report.

Report of the Gullah Geechee Historic Neighborhoods Community Development Corporation - Mayor ProTempore Alex Brown

Mr. Brown reported that the Gullah Geechee Historic Neighborhoods Community Development Corporation will meet on September 16th, at 10:00 a.m. and will receive the report of the Executive Director, discuss the Fiscal Year 2027–Fiscal Year 2030 Gullah Geechee Historic Neighborhoods Community Development Corporation Strategic Action Plan, discuss and consider small business funding opportunities, and discuss and consider a proposed event partnership and Memorandum of Understanding between the CDC and Historic Mitchelville Freedom Park.

Mr. Brown also reported the Corporation will enter into Executive Session for discussion of personnel matters relating to the Executive Director's performance evaluation, and discussion of a proposed contractual arrangement for legal services.

Report of the Community Development and Public Services Committee - Councilmember Tamara Becker

No report.

Report of the Finance and Administrative Committee - Mayor Pro Tempore Alex Brown

Mr. Brown reported that the Finance & Administrative Committee will meet on Monday, October 12th, at 10:00 a.m. The Committee will receive the Town of Hilton Head Island Fiscal Year 2027 Monthly Financial Update, receive the Local, Small and Minority-Owned Disadvantaged Businesses Annual Report, and review of a resolution for the recommendations from the Accommodations Tax Advisory Committee for the Calendar Year 2027 Grants to forward to Town Council for consideration.

New Business

Consideration of a Resolution by the Town of Hilton Head Island, South Carolina Adopting the William Hilton Parkway Gateway Corridor Master Plan and Other Matters Related Thereto - Shawn Gillen, Special Projects Director

Shawn Leininger, Deputy Town Manager, provided an overview of the item.

Mr. Leininger outlined the William Hilton Parkway Gateway Corridor Master Plan, emphasizing that its purpose is to establish a shared long-term vision and policy framework to guide future infrastructure decisions along the Corridor. The Master Plan was developed through extensive data analysis, coordination with state and county partners, and substantial community engagement, including input from the Stoney Historic Neighborhood and Town Council Workshops held on April 28, 2026, and July 28, 2026. It focuses on improving safety, mobility, environmental stewardship, neighborhood connectivity, economic vitality, and the preservation of community character while ensuring no private property impacts. Key recommendations

include redesigned intersections, continuous flow traffic strategies, pedestrian and bicycle connectivity enhancements, potential new bridges, and corridor beautification. The Master Plan also presents phased project sequencing, identifies near-term high impact improvements, and outlines long-term major projects requiring substantial permitting and funding.

Adoption of the Master Plan does not authorize construction but instead allows the Town Manger to:

- Utilize the Master Plan as the framework for future coordination with Beaufort County, SCDOT, federal agencies, property owners, and other project partners.
- Advance improvements in phases based upon documented safety needs, operational deficiencies, community benefit, funding availability, and constructibility.
- Require subsequent engineering and project development to demonstrate the specific public benefit and need for each major improvement.
- Return to Town Council with funding strategies, sources, and planning-level cost estimates before individual capital projects are authorized.

Adoption of the Master Plan provides a coordinated framework for addressing transportation, safety, connectivity, and neighborhood needs along with the South Carolina Department of Transportation and Beaufort County, South Carolina's advancement of the U.S. 278 eastbound bridge replacement project.

The Master Plan identifies twelve potential projects with a combined planning-level estimate of $125.8 million, based on 2025 costs. Five projects, totaling an estimated $27.6 million, were identified as priorities for immediate planning, engineering, funding and intergovernmental coordination:

- Spanish Wells Road/Wild Horse Road intersection improvements, estimated at $4.3 million.
- Continuous Green-T at Squire Pope Road/Chamberlin Drive, estimated at $900,000.
- Pedestrian bridge west of Squire Pope Road/Chamberlin Drive, estimated at $14.1 million.
- Chamberlin Drive extension to Spanish Wells Road, estimated at $3.6 million.
- Old Wild Horse Road streetscape improvements, estimated at $4.7 million.

The remaining seven projects are longer-term concepts that will be considered as corridor needs, funding opportunities and partnerships develop:

- Development of a Gullah Geechee Heritage Park in alignment with Old Schoolhouse Park.
- Construction of a two-lane bridge with a pathway and new roundabouts at the Spanish Wells Road/Wild Horse Road intersection.
- Intersection and traffic signal mast-arm improvements at Crosstree Drive/C. Heinrichs Circle near Windmill Harbor.
- Corridor-wide pathway, landscaping, wayfinding and placemaking improvements.
- A Jenkins Island access road, parking areas, and improvements to the historic Jenkins Island Cemetery.
- Construction of an additional eastbound travel lane from the bridge area to the Squire Pope Road/Chamberlin Drive intersection.

• Construction of an additional westbound travel lane from the Squire Pope Road/Chamberlin Drive intersection toward the bridge.

The advancement of the William Hilton Parkway Gateway Corridor Master Plan is in support of Goal #3 of the Fiscal Year 2026-2028 Town Council Strategic Action Plan, specifically Action Item 3.2 that states, “Advance the William Hilton Parkway Gateway Corridor, with a focus within Town limits, through intergovernmental collaboration that prioritizes safety, mobility, aesthetics, and the preservation of the Stoney Historic Neighborhood in alignment with the Town’s core values” and reflects Town Council directives to prioritize safety, mobility, aesthetics, and the preservation of the Stoney Historic Neighborhood. The Master Plan is a comprehensive strategy to improve:

• Public safety
• Intersection operations
• Traffic reliability
• Pedestrian and bridge connectivity
• Emergency access
• Drainage
• Access management
• Streetscape and landscape character
• Long-term resilience and functionality of the corridor
• Preservation of the Stoney Historic Neighborhood as a vital cultural and historic asset

Mr. Brown moved to approve. Mr. Alfred seconded.

Mayor Perry asked for public comment.

Skip Hoagland addressed Council to recommend a $5.00 per day tourist impact fee to be collected at checkout and to use the funds collected to offset costs for infrastructure and corridor projects.

Palmer Simmons addressed Council to support the resolution and expressed his appreciation that the Stoney and Spanish Wells neighborhoods would not be impacted.

Council members reviewed and debated the proposed Master Plan, addressing roadway improvements around William Hilton Parkway, Squire Pope Road, Spanish Wells Road, and surrounding areas. The conversation touched on traffic flow, pedestrian safety, long-term infrastructure needs, environmental concerns, and funding.

Council discussed several transportation and planning issues, including a newly identified under-bridge roadway connection that is not part of the Master Plan but may be preserved through current bridge design work, as well as upcoming traffic flow changes—such as continuous-green movements—that will alter how drivers navigate key intersections. Staff clarified that the Town's Fiscal Year 2027 budget includes early design funding for priority corridor projects (Squire Pope Road & William Hilton Parkway: $400,000; Spanish Wells Road & William Hilton Parkway: $300,000), while Council raised concerns about pedestrian safety,

noting the high estimated cost of a potential overpass, and about environmental impacts, particularly regarding the Spanish Wells flyover. Members also sought clarity on how strictly the Town must adhere to the Master Plan, with the Town Manager emphasizing its flexibility as a guiding framework rather than a construction mandate. Council agreed that a well-defined funding strategy is essential before seeking major state support and, while generally supportive of the plan's direction, emphasized that its complexity and evolving details warrant continued refinement as projects advance.

Overall, Council agreed the plan is a strong forward step, even though it does not solve every traffic issue. The primary goal is to empower staff to begin funding pursuits and detailed engineering work.

Motion carried 7-0.

Consideration of an Ordinance of the Town of Hilton Head Town Council to Amend the Budget for the Fiscal Year Ending June 30, 2026; to Provide for the Budgeted Appropriations of Commitments and the Expenditures of the Debt Service Fund; to Allocate the Sources of Revenue for the Said Fund; and to Provide for Severability and an Effective Date - First Reading – Dave Byrd, Finance Director

Dave Byrd, Finance Director, explained the need for a second budget amendment for the Town of Hilton Head Island Fiscal Year 2026 budget due to an overage in the Debt Service Fund. While all other funds came in under budget, the Debt Service Fund exceeded its amended allocation because the Town received a $1.8 million bond premium above the original $35 million GO bond amount, requiring an initial payment of approximately $1,697,000 in June. This amendment adjusts the budget to account for that required payment, and an additional $125,000 will be applied toward the second GO bond payment in June 2027.

The proposed ordinance provides the final Fiscal Year 2026 amendment associated with the Series 2026 General Obligation Bond proceeds and related debt costs that were directed to the Debt Service Fund.

A detailed description of the recommended budget amendments is as follows:

1. Debt Service Fund Expenditure Amendments – Totaling $1,818,287
   a) Series 2026 General Obligation Bond Payments - $1,697,412
      1. An increase in the principal payment for the Series 2026 General Obligation Bond
   b) Fund Balance Surplus for future Debt Service Use - $120,875
      1. An increase in the contribution to Debt Service Fund balance for future use.

2. Debt Service Fund Revenue Amendments – Totaling $1,818,287
   a) Series 2026 General Obligation Bond Proceeds
      1. An additional $1,818,287 transfer into the Debt Service Fund from the Series 2026 General Obligation Bond proceeds.

Ms. Becker moved to approve. Ms. Brison seconded.

Mayor Perry asked for public comment.

Skip Hoagland addressed Council regarding the Town budget, legal fees, instituting a tourist impact fee and transparency.

Motion carried 7-0.

Council held a recess for 5 minutes, from 6:10 p.m. to 6:15 p.m.

Consideration of an Ordinance to Amend the Official Zoning Map of the Town of Hilton Head Island to Modify the Port Royal PD-1 Master Plan with Respect to 4.667 Acres of Real Property Identified as a Portion of Parcel R510 009 000 1199 0000 (Mid-Island Tract) Located Along Union Cemetery Road, to Allow Religious Institutions as an Additional Permitted Use - First Reading - Trey Lowe, Interim Planning Director

Trey Lowe, Interim Planning Director, described the purpose of the ordinance.

As the current owner of the property and partner with St. James Baptist Church and Beaufort County, the Town proposes to amend the Port Royal and Surrounds Master Plan for a 4.667 acre portion of the Town-owned parcel known as the Mid-Island Track on Union Cemetery Road. The amendment would retain the property's existing open space designation and add uses, limited non-residential density, which is necessary for the relocation of St. James Baptist Church and the historic Cherry Hill School next to the church's current cemetery.

This request will allow for the relocation of St. James Baptist Church and Cherry Hill School to the subject property which supports the implementation of Goal #7 of the Town's 2026-2028 Strategic Plan: Preserve, Protect, and Celebrate Gullah Geechee Culture and Heritage and specifically, action item 7.4 states, “Prepare a relocation and mitigation agreement to preserve the St. James Baptist Church and Cherry Hill School.”

The Community Development and Public Services Committee reviewed the Ordinance in accordance with LMO Sec. 16-2-103.C.3. on August 10, 2026, and all members voted in the affirmative (3-0) to forward the Ordinance to Town Council for approval.

The Planning Commission held a public hearing on July 23, 2026, and reviewed the Ordinance in accordance with LMO Sec. 16-2-103.C.3., and all members voted in the affirmative (6-0) to forward the proposed Zoning Map Amendment (ZA-000925-2026) to Town Council with a recommendation for approval.

Ms. Becker moved to approve. Ms. Brison seconded.

Mayor Perry asked for public comment.

Chester Williams addressed Council to let them know he has been working with St. James Baptist Church on this project for two decades and he thought this is a great way to resolve the

issues with St. James and the airport runway and he urged Council to approve the ordinance.

Motion carried 7-0.

Consideration of an Ordinance Approving Amendments to Town Procurement Code Section 11-1-315, Small Purchases - First Reading - Doug Broyles, Chief Procurement Officer

Doug Broyles, Chief Procurement Officer, provided a brief summary.

The ordinance represents a proposed update to the Town Code's (Town Code Section 11-1-315) small purchase threshold, recommending changes to modernize procurement limits originally set in 2007. Staff noted that current procedures allow departments to directly make purchases under $7,500, require quotes or existing contracts for purchases up to $25,000, and require public solicitation above that amount. The recommendation increases departmental authority to purchases under $10,000 and raises the small purchase limit to $50,000, citing inflation, benchmarking against other municipalities, and the Town's average purchase cost of just over $26,000. The change would also improve access for local small businesses that may not be positioned to respond to formal solicitations.

The recommendation to advance the ordinance to Town Council for consideration was reviewed, and unanimously approved 3-0, by the Finance & Administration Committee in their regular meeting on Monday, August 10th, 2026.

Mr. Brown moved to approve. Ms. Becker seconded. The motion was withdrawn by Mr. Brown.

Mayor Perry asked for public comment.

Skip Hoagland addressed Council regarding the Town's bidding and procurement of vendors, using Artificial Intelligence and an in-house staff lawyer in place of outside counsel, and the need for an audit.

Lance Pyle addressed Council regarding the Town's partnership with Hilton Head Island communities in the form of drainage agreements by which the communities manage the drainage projects, and requested changes to the procurement process and allocation of tax funds to align with the standards of the Town of Bluffton in order that the communities can better manage the drainage projects on behalf of the Town.

Peter Kristian addressed Council requested changes to the procurement process and allocation of tax funds to align with the standards of the Town of Bluffton in order that the communities can better manage the drainage projects on behalf of the Town.

Council members discussed raising procurement thresholds for stormwater projects because urgent stormwater failures often require immediate action and current low limits force delays for quotes and formal bidding, worsening damage and increasing costs. They acknowledged that communities also struggle to compete for a small pool of vendors, especially compared to

Bluffton, which has higher thresholds. Several members supported creating a higher small purchase threshold specifically for stormwater work—potentially up to $100,000—while keeping existing limits for other purchases. Other members requested more clarity on how procurement interacts with existing stormwater agreements and the Town's capacity to oversee spending. The Town Manager recommended sending the issue back to the Finance & Administration Committee for further review and a more complete proposal with the possibility of including a separate definition of "small purchase" in relation to stormwater issues.

Ms. Brison moved to refer the Ordinance back to the Finance and Administrative Committee for further consideration. Ms. Tunner seconded. Motion carried 7-0.

Consideration of a Resolution Authorizing the Town Manager to Execute Certain Documents Associated with Wetland Mitigation for the Crossings Park Project - Don D'Adam, Public Projects Program Director

Don D'Adam, Public Projects Program Director, provided a brief summary of the item.

The resolution authorizes the Town Manager to execute a Wetland and Stream Mitigation Credit Purchase Agreement with Weyerhaeuser NR Company, as required for the Town of Hilton Head Island's Crossings Park Phase I project. The agreement represents one of the final steps needed before the project can move forward to public advertisement.

The Finance and Administrative Committee previously reviewed the item on August 10, 2026, voting unanimously (3–0) to forward it to Town Council for consideration.

Mr. Brown moved to approve. Ms. Brison seconded.

Mayor Perry asked for public comment. There was none.

Council members requested clarification on what the wetland mitigation process involved. Mr. D'Adam explained that the project must follow permitting steps through the U.S. Army Corps of Engineers and must meet the compensatory mitigation requirements of the South Carolina Department of Environmental Services, Bureau of Coastal Management, Coastal Zone Consistency section, which scores the impacted wetlands and determines the number of mitigation credits required—in this case, 5.148 credits. These credits are purchased on the open market through pre-qualified vendors such as Weyerhaeuser, with the associated wetlands located in a different basin. The cost for the required freshwater wetland credits is $84,942. Council members appreciated the explanation, noting the importance of making this information clear to the public.

Motion carried 7-0.

Consideration of a Resolution Authorizing the Town Manager to Execute and Deliver a Permit/Use Agreement with the South Carolina Department of Environmental Services for Access to a Groundwater Monitoring Well - Jeff Netzinger, Engineering Director

Shawn Leininger, Deputy Town Manager, provided a summary of the item.

The resolution authorizes a formal Permit/Use Agreement between the Town of Hilton Head Island and the South Carolina Department of Environmental Services (SCDES) for the groundwater monitoring well (Well BFT-2055) located at 4 Castnet Drive near the Singleton Beach parking lot. The state operates about 180 such wells statewide to track groundwater levels, especially during droughts, and the well in the Town of Hilton Head Island has existed for years under informal approval. The state is now standardizing agreements for all well sites, and the proposed agreement—running through 2035—does not alter the well's operation but formalizes access and terms. The Permit/Use Agreement would allow SCDES employees to enter the property to access the well, sometimes requiring the use and installation of monitoring instruments. Any modification of the well site would be authorized by a separate agreement.

The Permit/Use Agreement was reviewed by the Finance & Administrative Committee on August 10, 2026 and all members voted in the affirmative (3-0) to forward the Resolution to Town Council for approval.

Ms. Becker moved to approve. Mr. Alfred seconded.

Mayor Perry asked for public comment. There was none.

Council asked if the agreement was an agreement in general for the Town's monitoring wells or just for one, and Mr. Leininger confirmed the agreement is for one well and is the only well agreement required at this time. Additionally, Ms. Brison clarified to the Council that the state typically shares groundwater data even though the agreement does not explicitly require it.

Motion carried 7-0.

Consideration of a Resolution Authorizing the Town of Hilton Head Island to Apply for a Big Idea Grant to Support a Drone First Responder (DFR) Program, Committing a Local 5% Match and Confirming Compliance with the Town's Procurement Policy - Michele Bunce, Senior Grants Administrator

Michele Bunce, Senior Grants Administrator, provided a summary of the item.

The Municipal Association of South Carolina (MASC) is a state-level, not-for-profit organization that represents and serves South Carolina's 271 incorporated municipalities by providing resources, services, training, and programs to support effective local government. In 2025, MASC established the IMPACT Fund, which stands for Innovative Municipal Projects for Advancing Change and Transformation, as a new grant program designed to provide municipalities with funding for innovative projects and practical solutions to local challenges. The IMPACT Fund offers the following grant opportunity:

- Big Idea Grant
  - Provides awards up to $100,000
  - Supports bold, creative, and forward-thinking projects that demonstrate innovation, community impact, and long-term value

- 5% match requirement

The Town is proposing to apply for a Big Idea Grant in the amount of $100,000 to support the development and implementation of a Drone First Responder (DFR) Program designed to enhance emergency services and public safety operations. The Hilton Head Island Fire Rescue Department will serve as the project lead and will oversee the development and implementation of the program. The proposed program would use drone technology to provide rapid aerial situational awareness and support for incidents such as emergencies, severe weather events, large gatherings, missing-person searches, and other public safety needs. This project supports Goal #4 of the Town's Strategic Action Plan, Enhance Public Safety Readiness and Facilities, by strengthening the Town's emergency response capabilities through innovative technology. This initiative would allow the Town to explore an innovative, technology-driven approach to improving response capabilities, operational efficiency, and community safety.

As part of the application process for the Big Idea Grant, the Town is required to submit a Resolution adopted by Town Council. The Resolution will formally commit the Town to providing the required 5% local grant match and confirm that the Town will comply with its established Procurement Policy in implementing any project funded through the grant. Approval of the Resolution will authorize the Town to include this commitment with its grant application.

The Finance and Administrative Committee reviewed the resolution at its September 14, 2026, meeting and voted unanimously (3-0) to recommend forwarding the resolution to Town Council for consideration and approval.

Ms. Brison moved to approve. Mr. Brown seconded.

Mayor Perry asked for public comment. There was none.

Ms. Becker noted that the item was introduced late in the Finance & Administration Committee meeting and requested clarification for the public regarding the Drone First Responder (DFR) Program, especially concerning privacy, surveillance, and how drones might relate to existing enforcement technologies such as Flock cameras. Thomas Dunn, Emergency Manager, Fire Rescue, explained that the program is still in its early development stage and no operational criteria have been finalized and that the intent is for drones to serve as rapid first response tools, providing immediate visual information during emergencies. Town Manager, Marc Orlando, assured Council that all security, safety, and privacy protocols would be developed thoughtfully and brought back to Council for formal policy review before implementation. Mr. Orlando also highlighted potential non-emergency uses such as stormwater inspections, tree assessments, and project monitoring, reinforcing that Council will not be surprised and will have full oversight as program guidelines are shaped.

Motion carried 7-0.

Consideration of a Resolution Authorizing the Town of Hilton Head Island to Apply for a

Problem Solver Grant to Support a Roof Replacement Project for the Fish Haul Beach Park Restrooms, Committing a Local 5% Match and Confirming Compliance with the Town's Procurement Policy - Michele Bunce, Senior Grants Administrator

Michele Bunce, Senior Grants Administrator, provided a summary of the item.

The Municipal Association of South Carolina (MASC) is a state-level, not-for-profit organization that represents and serves South Carolina's 271 incorporated municipalities by providing resources, services, training, and programs to support effective local government. In 2025, MASC established the IMPACT Fund, which stands for Innovative Municipal Projects for Advancing Change and Transformation, as a new grant program designed to provide municipalities with funding for innovative projects and practical solutions to local challenges. The IMPACT Fund offers the following grant opportunity:

- Problem Solver Grant
  - Provides awards up to $25,000
  - Supports smaller, more routine municipal projects and practical improvements addressing identified needs and enhanced services or quality of life
  - 5% match requirement

The Town is proposing to apply for a Problem Solver Grant in the amount of $14,845 to support the replacement of the roof at the Fish Haul Beach Park restrooms. The Town's Facilities Department will serve as the project lead and will oversee the project's implementation. The project would address the need to maintain and improve this public facility, helping to protect the structure from weather-related damage and ensuring the restrooms remain safe, functional, and available for residents and visitors. The project supports Goal #10 of the Town's Strategic Action Plan, Enhancing Community Well-being Through Implementation of the Parks and Recreation Master Plan and Program Enhancements by maintaining and improving public park facilities for residents and visitors. The proposed roof replacement represents a practical improvement that will extend the useful life of the facility and reduce future maintenance needs.

As part of the application process for the Problem Solver Grant, the Town is required to submit a Resolution adopted by Town Council. The Resolution will formally commit the Town to providing the required 5% local grant match and confirm that the Town will comply with its established Procurement Policy in implementing any project funded through the grant. Approval of the Resolution will authorize the Town to include this commitment with its grant application.

The Finance and Administrative Committee reviewed the resolution at its September 14, 2026, meeting and voted unanimously (3-0) to recommend forwarding the resolution to Town Council for consideration and approval.

Mr. Brown moved to approve. Mr. Alfred seconded.

Mayor Perry asked for public comment. There was none.

Motion carried 7-0.

Public Comment - Non Agenda Items

Mayor Perry asked if there was any public comment for non-agenda items.

There was none.

Executive Session

At 6:57 p.m., Mr. Alfred moved to enter into Executive Session for the items listed below. Ms. Brison seconded. Motion carried 7-0.

Discussion of Negotiations Incident to Proposed Contractual Arrangements for Proposed Sale or Purchase of Property [Pursuant to the South Carolina Freedom of Information Act Section 30-4-70(a)(2)] related to:

1. Marshland Road Area
2. Mathews Drive Area

Action from Executive Session

At 7:42 p.m., Mr. Brown moved to end Executive Session and return to the regular meeting. Ms. Tunner seconded. Motion carried 6-0 (Ms. Becker was absent).

Mayor Perry asked Mr. Brown if there was any business as a result of Executive Session. Mr. Brown stated there was none.

Adjournment

At 7:43 p.m., Ms. Brison moved to adjourn. Mr. Alfred seconded. Motion carried 6-0 (Ms. Becker was absent).

Kimberly Gammon, Town Clerk

Alan R. Perry, Mayor

The full recording and a transcript of this meeting can be found on the Town's website at www.hiltonheadislandsc.gov